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Insurers Soar After US Boosts Final Medicare Advantage Rates

A pharmacy tech pulls medication from a shelf inside a pharmacy in Provo, Utah. *Photographer: George Frey/Bloomberg*

By John Tozzi

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Takeaways by Bloomberg AI

- The US Medicare program will pay private insurers 2.48% more in 2027, a meaningful improvement over the initial rates proposed in January.
- The payment change is expected to add up to over $13 billion in additional payments to Medicare Advantage plans next year, according to the Centers for Medicare and Medicaid Services.
- The rate increase may let companies expand margins next year, as long as they keep reducing benefits and managing expenses, according to Mizuho health-care specialist Jared Holz.

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Shares of major insurance companies jumped on the news in trading after US markets closed, with UnitedHealth Group Inc. up 9.9%, Humana Inc. rising 13%, and CVS Health Corp. up 7.8%.

The final policy from the Centers for Medicare and Medicaid Services influences how more than half a trillion dollars flow through private health plans. The payment change is expected to add up to over $13 billion in additional payments to Medicare Advantage plans next year, CMS said.

The preliminary rates in the agency's January

proposal disappointed Wall Street by holding payments close to flat for next year. Insurers called that untenable and lobbied for a bigger increase to cover rising medical expenses.

Investors expected the final rates to improve by at least 1 percentage point over that proposal, analysts from JPMorgan wrote in a March 23 research note. TD Cowen analysts wrote March 30 that an increase of 1 to 1.5 percentage points would likely be “good enough.”

Most big US health insurers have relied on government programs to drive growth. For years, annual raises for private Medicare plan rates boosted profits, and the program grew swiftly to cover about half of people on Medicare.

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But in recent years, concerns about costs and how insurers maximized their payments under obscure policies brought more scrutiny to the program. The Biden administration trimmed rates and began to change the payment system.

Several insurers struggled to profit on Medicare as those changes took effect. Last year UnitedHealth, the largest seller of private Medicare plans, slashed its profit outlook, in part due to the profit hit it took in Medicare.

When the Trump administration proposed in January holding payment rates essentially flat for 2027, the selloff in health insurers that provide Medicare Advantage plans wiped out nearly $100 billion in stock-market value.

The rate increase isn't "so awesome in a vacuum, but is certainly better" than the initial proposal to hold rates flat, Mizuho health-care specialist Jared Holz wrote in a note to clients. The boost may let companies expand margins next year, he said, as long as they keep reducing benefits and managing expenses.

The agency is trying to balance the program's near-term stability with long-term financial sustainability, Medicare officials said on a call with reporters.

"We're ensuring that the money we spend on Medicare flows directly to better care and more access for our seniors, not to administrative waste or gaming of the system," said Chris Klomp, director of Medicare and a senior adviser at the Health and Human Services department. "We're trying to level the playing field," he said.

But CMS declined to implement some changes to the complex risk adjustment model that the agency had proposed. That system, in which insurers are paid more for sicker patients, has been a flashpoint for criticism for years, with whistleblowers and government watchdogs alleging that insurers have boosted reimbursements by manipulating diagnostic codes that influence payment.

Deferring those changes for now “is a positive sign” for insurers, William Blair analyst Ryan Daniels wrote, “in that CMS and the administration were willing to listen to industry participants.”

Raymond James analyst Chris Meekins called the improvement better than expected, and said it could pave the way for two years of earnings growth for an industry that has struggled. The net benefit for insurers could be even greater, Meekins wrote, because some changes to how payments are calculated likely won’t have as big an effect as the agency estimates.

– With assistance from Peyton Forte, Catherine Larkin, and Rachel Cohrs Zhang

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